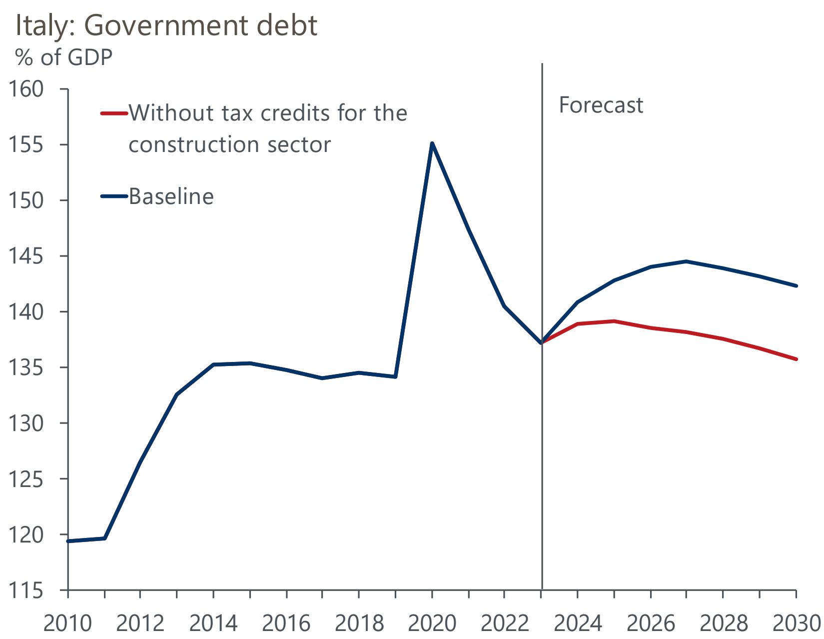
Research Briefing | Eurozone

Fiscal incentives in Italy will have negative effects on debt

- **Italy's public debt will be inflated over the coming years by fiscal incentives to the construction sector, as these measures have increased substantially over the last three years. Those incentives likely amounted to around €200bn in tax relief over the last three years and have already worsened the fiscal deficit, but will only be accounted as additional public debt in the coming years.**
- **Those incentives, which took the form of tax credits, will result in higher financing needs when they are claimed. According to our calculation, this will amount to around 2% of GDP per year in the 2024-2026 period, implying that public debt as a proportion of GDP will continue to increase despite positive nominal growth and a diminishing fiscal deficit.**
- **Moreover, the fading of those incentives means that the construction sector will be a drag on growth. We expect residential investment will decrease by 20% over the next three years. But a much faster drop in residential investment, reaching the pre-Covid level by 2026, would shave off around 1ppt of GDP growth over the next two years.**
- **Financial markets remain calm, as the economy has been quite resilient and Italy's performance after the pandemic has been slightly better than the eurozone average. But in our view, there is a clear risk that financial markets have not yet captured the negative impact that those measures will have on the future debt dynamics.**

Italy's fiscal incentives, mainly in the form of tax credits for the construction sector, are probably the worst measure of fiscal policy implemented in the country over the last decade. They were initially implemented as an anti-cyclical measure after the coronavirus pandemic but have continued during a period in which the economy grew quite strongly. The fiscal multiplier of these measures is expected to be quite small, while the impact on potential output is close to zero. Moreover, the scheme has turned out to be much more expensive than the initial estimate, and its effects on public debt will be felt over the next few years.

Chart 1: Italian government debt will be affected by the tax credits for the construction sector



Source: Oxford Economics/Haver Analytics

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The exact cost of those measures is not known yet. Its uncertainty is so high that the government's estimate of the 2023 fiscal deficit done in September last year was 2ppt lower than the final figure, with deficit reported at 7.2% of GDP. But this number is not definitive and is expected to move closer to 8%.

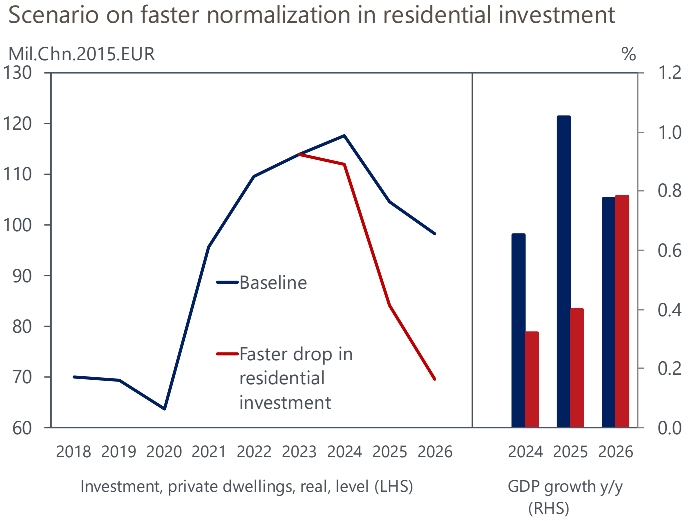
According to our calculation, the cost of those measures likely amounted to around €200bn in the 2021-2023 period. The main measure, dubbed the "superbonus", gave 110% of the cost back to taxpayers if they made some improvements to the energy efficiency of their homes. Due to the extremely generous scheme and absence of any economic incentives against moral hazard and inflating the bill, the take-up was very large. From mid-2021 up until March this year, this measure cost the government €122bn, or 5.8% of 2023 GDP.

These incentives were in the form of tax credits over several years (an average of four years), with the possibility to sell this credit. As Eurostat decided that these measures were 'payable' given the possibility to transfer the tax credit, this resulted in a significant misalignment between government debt and the government deficit. In fact, those costs affected the fiscal deficit the year the taxpayer incurred in the expense. But the impact on debt is projected to span over the coming few years, when the tax credits will be claimed.

This is why the debt dynamics will be negatively affected over the next few years. According to our calculation, this negative impact will amount to around 2% of GDP per year over the period 2024-2026, implying that public debt as a proportion of GDP will continue to increase, despite quite supportive nominal growth, at least for Italian standards, and an improving fiscal deficit. Without that and assuming everything else equal, the debt-to-GDP ratio at the end of 2027 would have been 7ppt lower than what we currently have in our baseline (**Chart 1**).

This misalignment between deficit and debt is set to disappear from 2024 – those costs are expected to be recorded as a 'non-payable' as the tax credit cannot be transferred anymore. From this year also these incentives will be less generous. The fading of those incentives means that the sector will be a drag on growth over the near future, but the pace of the normalization at the moment is quite unclear.

Chart 2: A faster normalisation of residential activity would negatively affect the Italian economy



Source: Oxford Economics

In our baseline, we assume that residential investment will decrease by around 20% from the current peak in around three years. But on top of that, we've designed a scenario in which this investment decreases at a faster pace, reaching its pre-Covid levels by 2026 (**Chart 2**). In this scenario, the economy would be particularly affected this year and next, with GDP growth 0.3ppts lower in 2024 and 0.7ppts lower in 2025.

Admittedly, recent data for the sector remain positive, very likely due to a carryover effect from the rush at the end of last year to finish some works. Construction activity for January increased on a month-on-month basis, suggesting the sector remained supportive in Q1. Moreover, past orders remain incredibly high, and the activity survey is only slightly lower than its most recent peak (**Chart 3**).

Chart 3: Surveys over the short term remain positive

Source: Oxford Economics/Haver Analytics

So far, markets have not reacted negatively, with the BTP-Bund spread currently trading at 140bps, close to the lowest levels in two years. This is probably the consequence of the imminent start of the ECB easing cycle and the fact that the Italian economy has remained quite resilient, in part helped by these incentives. Now these incentives are set to diminish while the burden on debt will build up. In our view, there is a clear risk that financial markets have not yet captured the negative impact that those measures will have on future debt dynamics, as they are probably still factoring in the slight overperformance of the Italian economy with respect to the eurozone average.